

Hi there, and welcome! I'm here to guide you through the key details of the Mexico Real Estate 101, costs, and fees disclosure provided by MoXi, a Global Mortgage Company here in Mexico. Congratulations on taking the first step toward responsible home financing as a foreigner in Mexico!

Transparency is a core principle at MoXi, and we understand that one of the most common questions U.S. Citizen borrowers have is about the costs associated with closing a real estate transaction in Mexico. Let's explore the essential points of this important document.

First important point to keep in mind: it's critical to remember that that buying a home in Mexico generally requires more up-front cash compared to the United States. While closing costs in the U.S. might range from 1-3% of the purchase price, in Mexico, buyers can expect to pay between 7-12%. Certain areas may even have higher costs. However, these up-front costs are often recouped quickly due to Mexico's lower cost of living and property taxes. You heard that right! 7-12% in closing costs!

For purchase transactions, we advise caution and recommend avoiding vendors, agents, or structures that offer significantly lower closing cost estimates or non-legal closing processes.

For refinance and cash-out refinance transactions, if you're not changing the ownership structure, you likely won't need to pay the ISABI transfer tax, ISABI, is commonly referred to as the acquisition tax. though other fees may still apply.

Now, let's go review some common third-party fees and costs. This section in the document covers all third party charges associated with a lawful legal property transfer, or in the case of a refinance, recordation of a legal property transaction. We'll cover MoXi specific charges in the following section.

The box on the left hand side of the document describes the fee, next is the estimated amount, and on the right hand side is a typical method and timeframe for collection. Please remember that for nearly all fees discussed here today, you should consider them to be non-refundable – whether or not you move forward with your transaction. You'll be required to sign acknowledging this.

Let's get started.

First, the Notario Fees. In Mexico, a "notario" is a specialized lawyer who verifies, drafts, and certifies legal documents for real estate transactions, ensuring compliance with the law and proper registration. Their involvement is mandatory to prevent fraud and provide legal certainty to the transaction. The Notario fees will generally range from 1-3% of the purchase price. Sometimes these fees are collected in two installments.

Next is the ISABI, commonly referred to as the acquisition tax. Depending on the location, this will range from 2-5% of the purchase price. This is the government land/property transfer tax collected at closing. Each municipality has its own acquisition tax rate.

Then we have the Recording Fees. These will range from 0.5-0.7% of the purchase price. These fees are assessed by the public registry in the municipality where your property is located and are assessed to record the deed.

Homeowners Insurance is required, and costs will vary. You are free to select your provider as long as they meet Moxi's requirements. The first year's premium for homeowners' insurance is typically paid by you, to your insurance agent or broker, 21 days before closing to allow the carrier sufficient time to bind the policy.

You'll also need a Title Insurance policy for most MoXi loans. This is a one-time expense, and the cost varies. This insurance protects against potential title defects and is collected at closing.

The Legal Closing Services Fee will be either \$4,900 or \$5,900. The cost is dependent on the initial loan amount and covers the secure lien and legal property transfer services provided by contracted Mexican counsel. It is required to be collected at the initial credit decision.

Every transaction requires a title search and legal Title Opinion. The costs associated with this will range from \$675 to \$5,000, depending on the property location. This expense is for a thorough title search and legal opinion and will need to be paid at the initial credit decision.

The Commercial Appraisal is the professional appraisal of the property value and is used to calculate your loan to value for your MoXi loan. The fee ranges from \$500 to \$5,000

or more and is based on the purchase price or estimated value. This fee will need to be paid at the initial credit decision.

The Cadastral Appraisal determines the official property value as seen by the Mexican government. It will be used to calculate any potential transfer tax, capital gains tax, and annual property taxes for the home. Based on the purchase price, you can expect this appraisal will cost \$300 or more and is to be paid at the initial credit decision.

Foreigners purchasing real estate in Mexico must obtain a Secretary of Foreign Affairs permit to ensure that the transaction complies with national regulations. This permit allows foreigners to acquire property, particularly in restricted zones near coastlines and borders, while maintaining legal oversight to safeguard national interests. The permit costs approximately \$1,650 and must be paid for at the initial credit decision.

The Fiduciary Bank Setup Fee, ranging from \$750 to \$2,000, establishes a fideicomiso for foreign property buyers in Mexico. This fee is collected at closing via final wire transfer.

The First-Year Fiduciary Bank Annual Fee, ranging from \$750 to \$2,000, covers the annual maintenance of a fideicomiso for foreign property buyers in Mexico. This fee is collected at closing and is payable annually thereafter.

In some cases, you may need additional Power of Attorney (POA) preparations. These are one-time fees that typically range from \$300 to \$500 per POA. This expense ensures that all necessary authorizations are properly documented and is paid by credit card when ordered.

The Impound Account Funding fees cover three months of taxes, Homeowners Insurance, and fiduciary fees. This amount varies depending on the specifics of your transaction. This fee is collected at closing via final wire transfer to establish your impound account with Moxi.

If you need documents to be notarized or receive an apostille, there is a one-time fee of \$200 per document. You may need this, for example, if you are taking title in the name of an LLC, trust, or corporation. These services authenticate the documents for use in foreign countries and these fees, if applicable, are due when your apostille is ordered.

If your documents need translation, this service costs \$20 per page and is done by a 'certified translator' in order to ensure compliance with Mexican law. Accurate translations are crucial for legal clarity and compliance. This fee is paid when the service is requested.

Opening an escrow account, which is required to hold funds until the transaction is complete safely, involves a one-time set up fee of \$650 to \$800. Additional disbursement fees may also apply at closing. If you are already in contract and have wired your earnest money deposit, you likely already included this fee in your initial wire.

Government Certificates, such as a 'certificate of no liens,' 'certificate of no water or property tax debt,' or recorded public deed are required to legally close in Mexico. This fee, \$300, typically covers most certificate fees and is paid by credit card at the initial credit decision to cover the cost of obtaining these official documents.

The \$400 Processing Charge covers verifications, transcripts, and necessary reporting for your transaction. This fee is paid by credit card at the initial credit decision to ensure all the required documentation and verifications are completed.

MoXi borrowers are required to engage the services of a Power of Attorney (POA) to facilitate the closing for borrowers not living near the property. This comprehensive service, which includes POA preparation, apostille services, and POA signing, has a one-time fee of \$550, paid by credit card at the initial credit decision.

To process your loan application, a credit report is required. This fee is \$150 and is paid by credit card at the initial credit decision. It covers the cost of obtaining and reviewing your credit history to determine loan eligibility.

Please be aware that a 16% Mexican tax may apply to some of the charges discussed in here today.

This concludes our review of the third-party fees you might encounter when purchasing real estate in Mexico. Now, let's move on to MoXi's fees to understand what financing will add to the overall costs.

Fees charged by both MoXi, and Seenairheeah Empraysahreeal Kraysay SAPI day CV SOFOM E N R, which is MoXi's Mexican origination entity; these fees generally will not change, are charged and collected in USD, and are not subject to the Mexican IVA tax of 16% pursuant to the Mexico Treaty with the U S Against Double Taxation. Seenairheeah fees (and the uniformity with which they are assessed) are regulated by CONDUSEF and are non-negotiable.

To start your loan application with MoXi, there is a \$150 application fee. This fee is collected by credit card during the application completion or submission process.

For clients actively shopping for property, there's an option to have your credit, income, and assets completely underwritten for a fee of \$500. This fee is collected by credit card during the application completion or submission process.

Moxi's underwriting fee covers reviewing and approving credit, income, assets, and collateral. The fee is \$2,000, but if the optional \$500 pre-underwriting fee has been paid, a credit will be applied, and the remaining \$1,500 will be collected when due. For purchase transactions, this is due at the initial credit decision, and for refinance transactions, it's due at the application stage.

Certain circumstances may result in additional fees, costs, or interest rate increases. These include credit policy exceptions, loans made with legal title opinion (where title insurance may not be available), and properties with a value under \$250k. The fee ranges from 0.5% to 1.5% of the loan amount and is collected via final wire transfer at closing.

The sub-servicer collects a loan servicing fee each month with your monthly payments. This fee is currently \$65 per month. This fee applies to the life of the loan after origination and covers sub-servicing activities such as remitting your property taxes due to the municipality on time, keeping your property insured, and ensuring your trust (fee de comiso) renewal is paid timely.

The origination fee for most moxi customers is 2.99% of the loan amount (not the purchase price). In certain exception cases, this can increase to 3.75% of the loan amount (not the purchase price). This fee is collected at closing via final wire transfer.

And finally, there is a \$475 fee for the loan setup by SOFOM, collected at closing via final wire transfer.

This concludes our review of the MoXi fees, as well as other fees that might be incurred during the purchase and refinance process in Mexico. For any additional questions, please contact a MoXi team member. Now, let's move on to the final phase of our document, which discusses the collection of fees throughout the process.

MoXi, as a convenience to its clients and to expedite closing timelines, offers the ability to pay required costs by credit card in USD. This helps meet escrow commitments and avoids significant delays. However, MoXi does not generally permit clients to pay vendors directly by bank or wire transfer. It's important to note that MoXi does not, under any circumstances, earn profit or income from its fee collection activities. All credit card payments and earned fees are non-refundable, and by paying fees to MoXi by credit card, clients waive any and all rights to a chargeback.

For Credit Card Payments, a 2.99% payment processing fee will be added to each collection.

Accurate Recordkeeping is a top priority at MoXi. When a vendor requires payment, MoXi handles the payment from the client's funds, ensuring all funds are held in a segregated account until they are earned or used. Each debit and credit entry is meticulously logged, and clients can request balance information at any time.

Let's discuss the four main collection points at which MoXi clients typically remit funds:

First, a \$150 application fee is collected when you submit your application. If you opt for fully underwritten preapproval, an additional \$500 fee is due prior to loan submission.

Once your loan has been conditionally approved and you've accepted the terms and conditions, agreeing to move forward, we'll collect a set of fees to initiate the services based on the type of transaction.

The fees generally collected at this point are:

\$150 for the credit report

\$2,000 for the underwriting fee (or \$1,500 if you've paid the optional \$500 pre-underwriting fee)

\$400 for the processing charge

\$300 for government certificates

Title search and appraisal fees, which can vary

\$1,650 for the Secretary of Foreign Affairs permit fee, if applicable

\$550 for POA preparation

- \$4,900 or \$5,900 for legal closing services, depending on the loan amount

Third, when the Notario begins the closing work, they will directly collect 50% of the estimated Notario fee via wire transfer.

Lastly, about five days before closing, all remaining funds will be wired directly to escrow – no credit cards are permitted at this stage.

These final funds will cover any remaining down payment due, transfer tax, remaining MoXi fees, a deposit to the impound account for 3 months of HOI, property taxes, and all applicable third-party charges such as title services, homeowners insurance, fiduciary fees, the balance due to the notario, and the recording fees.

Transparency is important to us and to you! Once your loan reaches the conditional approval stage, MoXi will regularly keep you informed about the estimated amount of cash due to close your transaction. Each time Moxi receives an invoice or updated amount from a vendor or third party, the ECTC (or estimated cash to close) document will be updated and regenerated to you by email.

Well, that wraps up our review! We hope that this thorough explanation of MoXi's Mexico 101 Cost and Fees Disclosure has been helpful to you. We appreciate your time and interest. If you have any further questions or need more details, feel free to contact a MoXi team member today.